

Kernex Microsystems (India) Ltd

Concall Tracker — earning-trigger & management-consistency read | Report date: 11 July 2026 | NSE/BSE: KERNEX / 532686

What the business does (one line): Kernex is a Hyderabad-based railway-safety company. It designs and supplies **Kavach / TCAS** — the "Train Collision Avoidance System", India's home-grown anti-collision technology that automatically brakes a train if the driver misses a red signal or two trains head towards each other. Its customer is essentially **Indian Railways** (via locomotive works and railway zones). It makes money by winning tenders to supply, install and commission this equipment on locomotives and along track.

1. Snapshot — the basic numbers, each in plain words

Measure	Value	Plain-English read
Market value (market cap)	₹3,625 Cr	What the whole company is worth on the stock market today — a small/mid-cap.
Share price	₹2,158	Price of one share; 52-week range ₹850–₹2,447, so the stock has more than doubled off its low.
FY26 revenue (sales)	₹426 Cr	Total sales for the year to Mar-2026 — up ~124% from ₹190 Cr in FY25, and a huge jump from just ₹19 Cr in FY24.
FY26 net profit	₹81 Cr	Money left after all costs and tax — up from ₹51 Cr in FY25, and versus losses in every year before FY25.
Operating margin (OPM)	33%	Out of every ₹100 of sales, ₹33 is operating profit before interest, tax and depreciation — healthy, and up from 22% last year.
Price-to-earnings (P/E)	45x	The market pays 45 years of current profit for the share — a rich, high-expectation price.
Return on capital (ROCE)	43.5%	For every ₹100 of capital in the business it now earns ₹43.5 a year — strong, but only just turned positive after years of negative returns.
Debt (borrowings)	₹162 Cr	Money owed to lenders — jumped from ₹40 Cr a year ago as the company borrows to fund a fast ramp-up.
Dividend	Nil	Pays no dividend — all cash is being held back to fund growth.

2. Concall coverage — how we read this company

No concall transcripts were available on Screener — this report is based on a global web deep-dive. Kernex does hold investor calls (they are listed on Trendlyne), but no transcript is hosted on Screener and none was reachable in a usable form. So the promised-vs-delivered read below rests on the **public record**: exchange filings and order announcements, results press notes, the company's investor-relations page, and credible financial media (Eduinvesting, Tradebrains, DSIJ, ScanX, Sahi, Univest). Treat the "management consistency" read as **limited** — we cannot check management's own quarter-by-quarter words, only what the filings and numbers show.

- ★ Latest update highlights — FY26 full year & order wins (to May 2026)
- **Explosive growth delivered.** FY26 sales ₹426 Cr (up ~124%) and net profit ₹81 Cr (up ~59%). The March-2026 quarter alone did ₹255 Cr of sales and ₹65 Cr profit — meaning most of the year's earnings landed in one big execution quarter.
 - **Order book is enormous vs the company's size.** By early 2026 the pipeline was ~₹3,268 Cr; after fresh wins it is ~₹4,150 Cr — roughly **ten times** a single year's sales, which management frames as close to a decade of revenue visibility.
 - **Biggest win:** a ₹2,465.71 Cr order from Chittaranjan Locomotive Works (Jan 2026) for 3,024 sets of on-board Kavach on locomotives, plus a further ₹475.21 Cr on-board order (May 2026) and a ₹67.53 Cr order from Patiala Locomotive Works.
 - **Approval moat:** Kernex is one of only **three RDSO-approved** makers of Kavach (RDSO = the Railways' standards body), and it cleared Kavach version 4.0 approval in Oct-2025 — a barrier that keeps competition small.
 - **Tone / caution:** upbeat on orders, but each contract carries a tight 12-month delivery clock, and there have been reports of a delivery deadline slipping and an extension request being declined — a sign execution is the hard part, not order-winning.

Business mix & capacity (quick facts)

Domestic vs export: Effectively ~100% **domestic** — the customer is Indian Railways and its locomotive works; there is no meaningful export revenue. (Plain read: the whole story rides on one buyer, the Indian government's railway network.)

Capacity / utilisation: Not broken out by management. The bottleneck is less about a factory and more about **working capital, installation manpower and railway site access** to execute the huge order book on time. The FY26 borrowing jump (₹40 Cr → ₹162 Cr) shows they are scaling fast to deliver.

3. Earning-trigger thesis ★

The trigger in one paragraph: India has mandated **Kavach** across its rail network to stop collisions — a multi-year, multi-thousand-crore national safety programme. Kernex, as one of only three approved suppliers, has converted this into a ₹4,150-crore order book worth about ten years of current sales. The engine of earnings is simply **executing that order book**: as locomotives and track sections get fitted, sales and profit scale up fast — which is exactly what FY26 (sales up ~124%, and a ₹255 Cr March quarter) already shows. This is a concrete, still-live driver, not a hope.

Trigger	What the record says	Evidence so far	Time horizon	Strength
Kavach national rollout converting a ₹4,150 Cr order book into revenue	Government-mandated safety tech; Kernex is 1 of 3 approved OEMs; ~decade of order visibility.	FY26 sales ₹426 Cr (from ₹19 Cr two years ago); ₹255 Cr Q4; ₹2,465 Cr + ₹475 Cr fresh loco orders.	Multi-year (each order ~12 months; pipeline spans several years)	Strong — real orders already turning into real sales.
Approval / scarcity moat	Only 3 RDSO-approved Kavach makers; cleared v4.0 in Oct-2025.	Keeps competition limited and pricing reasonable (33% margin).	Ongoing	Moderate — helps, but more OEMs will get approved over time.

4. Management-consistency scorecard (promised vs delivered)

Read this as limited — with no concall transcripts we judge on filings and reported numbers, not management's own recorded words.

Period	What was signalled	What actually happened	Verdict
FY24 → FY25	Turn the Kavach order wins into real revenue after a decade of losses.	Sales jumped ₹19 Cr → ₹190 Cr and the company turned profitable (₹51 Cr).	Delivered
FY25 → FY26	Scale up execution as the order book grows.	Sales ₹190 Cr → ₹426 Cr; profit ₹51 Cr → ₹81 Cr. Big step up.	Delivered
Within FY26 (quarters)	Steady, growing execution.	Very lumpy — profit dipped in Q2/Q3 (interest & working-capital drag) then ₹65 Cr landed in Q4. Earnings are back-ended, not smooth.	Partly
On-time delivery of orders	Complete 12-month contracts on schedule.	Reports of a deadline slipping and an extension request being declined; cash from operations was deeply negative (–₹101 Cr).	Too-early / watch
Balance-sheet discipline	Fund the ramp sensibly.	Borrowings up 4x to ₹162 Cr and free cash flow –₹116 Cr — growth is being funded by debt and customer advances.	Watch

Narrative drift: The core story has stayed steady and sensible — "we are a Kavach pure-play riding the national rollout" — and the top-line numbers back it up. The concerns are not about drift but about **quality of execution**: lumpy quarterly profit, deeply negative operating cash flow, fast-rising debt, and at least one reported delivery slip. Add thinner disclosure (no accessible earnings calls, promoter holding only ~28.9% and edging down), and the consistency picture is **good on growth, unproven on clean, on-time, cash-generating delivery**.

5. Bottom line — two verdicts

Durable earning trigger? → YES. The Kavach rollout is a concrete, government-mandated, multi-year driver, and Kernex has already turned it into a ₹4,150-crore order book (~10x annual sales) and real, fast-growing revenue. As one of only three approved suppliers, the driver is live and visibly playing out — not a promise.

Management consistent? → MAYBE. On growth they have plainly delivered (sales up 20x+ in two years). But we cannot read their own quarter-by-quarter words (no concalls on Screener), profit is lumpy and back-ended, operating cash flow is deeply negative, debt has quadrupled, and there are reports of a delivery deadline slipping. Steady story, but on-time and cash-generating execution is still unproven — hence Maybe, not Yes.

Overall read (Watch): A genuine, durable trigger sitting on top of a very rich valuation (P/E 45x, stock up ~2,000% over five years), negative operating cash flow, rising debt and tight delivery clocks. The prize is real; the risk is that execution and cash conversion, not order-winning, decide the outcome. One to watch closely as the big orders are delivered.

Sources: Screener.in (standalone financials, snapshot), company filings & investor-relations (kernex.in), and financial media — Eduinvesting, Tradebrains, DSIJ, ScanX, Sahi, Univest, Trendlyne. No concall transcript was available on Screener; figures are from the standalone Screener data and public reports. **This is not investment advice. Do your own due diligence.**